

**Chairman Speech
46th AGM
20th September 2013**

Dear Valued Shareholders, Guests, Ladies & Gentlemen

Very Good Morning!

On behalf of the Board of Directors of the Company, it is a great honour and privilege for me to extend a very warm welcome to each one of you at the 46th Annual General Meeting of your Company.

The Annual Report for the year ended 31st March, 2013 along with the Directors' Report and the audited Annual Accounts of the Company have been circulated to you. I request your kind permission to take them as read.

Economic Scenario

The current international economic environment has brought into focus the significant challenges before the Governments across the emerging economies in the world. India has also been impacted. The GDP growth has fallen to a low of 5.0 %, the lowest in the last decade. However, the recent reports and data suggest that the worst may be over for the Indian economy and there is renewed optimism in the India growth story.

We expect the domestic demand to pick up from the second half of the current fiscal in the backdrop of the economic reforms that have been put in place in the past few months including those on the anvil. Also, this year, the country had a very good monsoon, the best in last 15 years which will drive the demand. The basic fundamentals of our economy are strong and are likely to continue be so. With the new initiatives of the Government backed by strong fundamentals it is expected that the Indian economy will regain its growth momentum that is sustainable.

Industry

Currently, three major players dominate the Indian Copper Industry. Hindustan Copper Limited (HCL) in Public Sector, M/s Hindalco and M/s Sterlite Industries in the Private Sector. HCL is the only vertically integrated copper producer in the country, while M/s Hindalco at Dahej in Gujarat and M/s Sterlite Industries in Tutuicorn in Tamil Nadu have set up port based smelting and refining plants.

The copper ore production in India during the fiscal 2012-13 was 3.65 million tones as compared to 3.48 million tones in 2011-12. The Refined

copper production in FY 2012-13 was 6.93 lakh tones, as compared to 6.84 lakh tones in FY 2011-12.

The consumption of refined copper in the year 2012-13 is estimated around 6.0 lakh tonnes, which as percentage of world copper market is only three percent. However, India's copper market is expected to remain positive with strong growth in key user segments such as power, construction and engineering. The consumption of refined copper in India is expected to grow in line with the GDP growth in the coming years in view of Government's renewed thrust on the manufacturing sector as well as the increased allocation to power, infrastructure and housing sector in the 12th Plan by the Government of India.

In the near term, the global demand prospects of copper have improved as the Chinese economy has begun to improve and recovery taking place in USA. Recovery in Europe is likely to be slow; however, a number of uncertainties remain.

I would now like to briefly present the key features of your Company's performance during 2012-13.

Performance

Financial

I am glad to inform that during FY 2012-13 your Company has posted Profit After Tax of Rs.355.64 crore which is the highest ever since inception of the Company as against Rs.323.47 crore in 2011-12, registering a growth of about 9.59%. As on 31st March, 2013 the Net Worth of the Company stood at Rs 1645.03 crore and the cash reserve Rs.527 crore.

The Sales Turnover achieved during the year was Rs 1475.27 crore as against Rs.1638.18 crore in the previous year.

I am happy to share with you that your Company continues to remain a debt free Company. This strength will be of immense help in raising funds for capital requirement if any, for the expansion and modernization programme.

Production

During the year 2012-13, the Company produced 36.57 lakh tones of Ore, 29,285 tones of Metal in Concentrate (MIC), 24,210 tones of Cathode and 20,368 tones of Wire Rod. The Ore production during the year was the highest in the last 13 years. The MIC production was however, marginally less compared to the previous year and the shortfall being due to low grade of mined ore mainly from Malanjkhand mines and low process recovery of Concentrator Plant at Khetri Copper Complex.

Dividend

The Board of Directors of your Company has recommended payment of dividend at the rate of 20% i.e. Re 1/- per share on a face value of Rs 5/- for the year 2012-13, subject to your approval in the AGM. The financial outgo on this account shall be Rs. 92.52 crore and on account of tax on dividend is Rs 15.72 crore, aggregating to a total of Rs. 108.24 crore.

Growth Initiatives

Your Company has drawn strategies for sustaining growth. The basic tenets of the strategy evolves around increasing the copper ore production from the existing mining assets, intensifying exploratory and development efforts for creating new deposits on a continuous basis and value addition in the downstream.

At present your Company is implementing eight mine expansion projects with a combined capex of Rs 3435.0 crore spread over five years. The mining projects of the Company are on course. Out of the total eight projects, EPC contractors for seven projects have been selected and work at site has commenced in four projects.

I am happy to inform you that Environment Clearance for Malanjkahnd Underground Project which is the flagship project of your Company has been received from MoEF, New Delhi on 17th June 2013. The work at site will commence after receiving the clearance from the Standing Committee of National Wildlife Board, process for which is underway. The State Government has recommended the proposal and it is being forwarded to the Central Government.

Going forward, we also have initiated action to extract minerals and materials from the copper ore tails. We expect that this will contribute significantly to the profitability of the Company in the years to come. This is also a big step forward towards achieving the goal of "Zero Waste Mining".

Green Field Exploration

With a view to consolidate its position as the only copper mining company in the country, your Company has applied for Prospecting License (PL), Mining License (ML) and Reconnaissance Permit (RP) in the State of Rajasthan, Jharkhand, MP and Haryana.

I am happy to announce that MP Government has granted RP of 580.73 sq. km in the Balaghat District to your Company and the lease deed has been executed in the month of March'13

The Company's efforts in getting RP for exploration of copper deposit in the State of Rajasthan have also met with some success. Directorate of Mines and Geology has informed that a total area covering 1860.69 sq. km has been recommended for award of RP to your Company in the districts of Ajmer, Bhilwada, Pali Nagur.and Jaipur.

We are also vigorously pursuing the renewal of mining leases in other areas.

Disinvestment

In terms of CCEA approval dated 14.9.2012, the Government of India has sold 8.87 crore equity shares (9.59%) from its existing shareholding in Hindustan Copper Limited in two stages through 'Offer for Sale' (OFS) through the Stock Exchange mechanism and mobilized an amount of Rs.1,067.76 crores.

After the disinvestment of shares, the current Government shareholding in HCL is now 90% making your Company compliant with SEBI requirement of minimum public shareholding.

Corporate Governance

The philosophy of your Company in relation to corporate governance is to ensure transparency in its dealings and compliance of applicable laws and regulations in order to promote ethical conduct and practices through out the organisation. Your Company is committed to comply with the provisions of Clause 49 of the Listing Agreement of SEBI relating to the Corporate Governance and the guidelines on Corporate Governance for Central Public Sector Enterprises (CPSEs) issued by the Department of Public Enterprises, Government of India.

Your Company actively supports the "green initiatives" taken by the Ministry of Corporate Affairs (MCA) and has effected electronic delivery of Annual Report 2012-13 containing the AGM notice to those shareholders whose e-mail addresses were registered with the Registrar and Transfer Agent (RTA) of your Company / Depository Participant, and who have not opted for receiving the Annual Report in physical form. I look forward to receiving your full support in this endeavour to contribute towards a greener environment.

A separate section on corporate governance furnishing applicable details forms part of the Directors' Report.

Accolades & Recognitions

Your Company has been consistently getting meritorious recognitions in various spheres of its activities. Few of such significant recognitions in recent past are the following:

- i) During the year, Hon'ble President of India gave National Safety Award (Mines) to Khetri mine in the following categories as under:
 - ♦ Winners' Trophy for the lowest injury frequency rate for the year 2008;
 - ♦ Runners Up Trophy for the longest accident free period for the year 2009; and
 - ♦ Runners Up trophy for the lowest injury frequency rate for the year 2010.
- ii) The KCC Group won 1st Prize on "First Aid Competition" on 26th Mine Safety Week, Ajmer Region in 2012-13 and Six Shields & Seven individual prizes in All India Rescue Competition in 2012-13.
- iii) Malanjkhand Unit has received eight environmental awards from IBM ,Nagpur, during the function of Mineral Conservation Week.
- iv) "50 Most Caring Companies of India" in the World CSR Congress 2013 held in Mumbai on February 18, on World CSR Day.
- v) Jharkhand Times Impact Award 2012 in the most admired Central Public Sector Undertaking in Mining and Manufacturing Category.
- vi) Our house journal Tamralipi has been awarded the In-house Communication Excellence (ICE) Certificate of Merit, 2012, and Griha Patrika Puraskar from the Nagar Rajbhasha Karyanwayan Samity (Upkram), Delhi, in 2012.

Responsibility Towards Society

Through CSR interventions your Company aspires to play a catalytic role in the socio-economic development in the region and aim to create an enabling working environment for HCL, as well as income generation opportunities for the local community.

Your Company has taken up several projects for Sustainable Development and Corporate Social Responsibility (CSR) through activities like livelihood promotion schemes, specialized health camps, sanitation, drinking water, construction of roads, horticulture and advanced agricultural training for the identified villages around its project sites. An amount of Rs.5.13 Crore was

spent on CSR activities during 2012-13 compared to expenditure of Rs.1.62 Crore during 2011-12.

The CSR Plan of your Company for FY 2012-13 was firmed up, in accordance with the DPE guidelines - 2010, in association with M/s National Institute of Rural Development (NIRD), an autonomous body under the Ministry of Rural Development, Government of India based on Participatory Rural Appraisal (PRA) exercises in the villages after focused discussions with the villagers to assess their felt needs.

Auditors' comments

The Statutory Auditors' Report has already been circulated to all the shareholders. I am glad to inform you that the C&AG after having reviewed your Company's accounts for the year ending 31st March, 2013 have given a 'Nil' report.

Acknowledgement

Before I conclude, on behalf of the Board of Directors of your Company, I wish to convey earnest thanks to the valued Share holders for your continued support and trust in us. This motivates us to excel in all our pursuits and constant endeavor to create value for you.

I take this opportunity to thank the Ministry of Mines for their unstinted support and valuable guidance. I also acknowledge the support extended by the State Governments and all other authorities and regulatory agencies.

I would like to thank my colleagues on the Board for their valuable guidance and contribution in steering the Company to higher levels of achievement.

Above all, I would like to place on record the commendable efforts and commitments shown by our most valued resource, i.e. the Human Resource of the Company as our employees have always contributed their best for the Company to set new benchmarks.

On behalf of the Board, I also take the opportunity to acknowledge the efforts, commitment and constructive cooperation of the Trade Unions and their representatives in the operation the Company.

I thank you all once again and offer my best wishes for a very joyous festive season ahead.

Kolkata
20th September, 2013

K D Diwan
Chairman-cum-Managing Director

(This does not purport to be a record of the proceedings of the Annual General Meeting)